FINANCIAL REPORTING AMENDMENT

Features of this file–

- Covers ICAI RTP amendment May 2026 in

- **Ind AS 1 – Classification - Right to Defer Settlement, Covenant Compliance, Future Covenant Disclosures, Breach of Covenant (Old and New Rule), Period of Grace, Convertible Debt**
- **Ind AS 7 – Supplier Finance Arrangements - to enhance transparency regarding liquidity risk and cash flows**
- **Ind AS 21 – Lack of Exchangeability - framework for assessing "lack of exchangeability" and methodologies for estimating spot rates when currencies cannot be exchanged.**



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One day I want to honestly say, " I MADE IT..."

CA Vinay Kumar

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Amendments applicable from May, 2026 examination

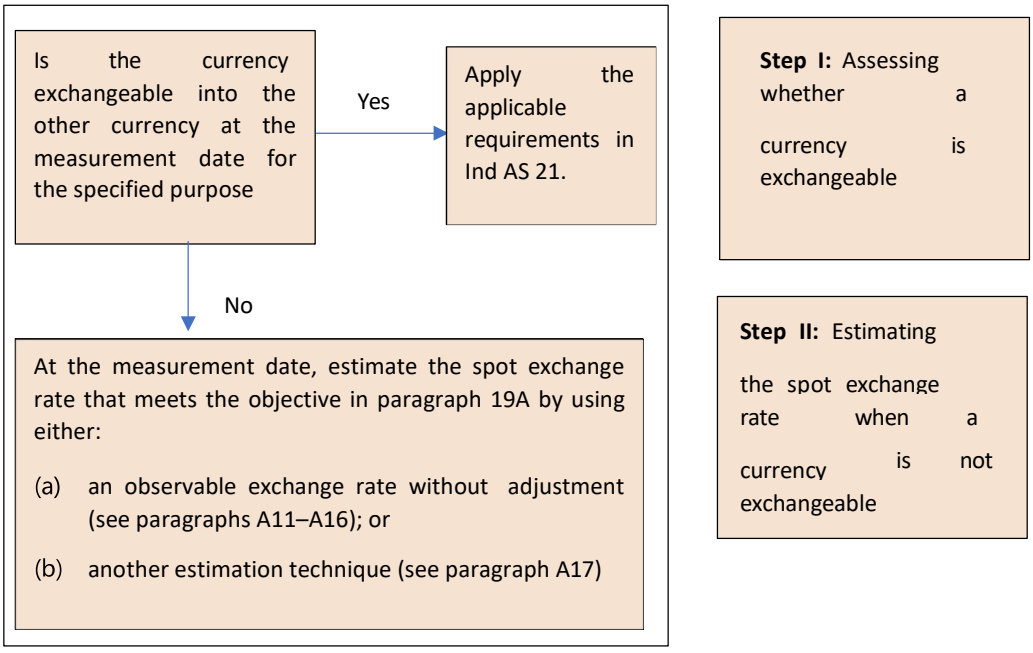
In the year 2025, MCA has issued amendments viz two notifications at two different dates to amend the Companies (Indian Accounting Standards) Rules, 2015. The first amendment of the year was vide notification G.S.R. 291(E) dated 7th May, 2025 and the second amendment of the year was vide notification G.S.R. 549(E) dated 13th August, 2025. These amendments are generally brought by MCA to keep uniformity between Ind AS and IFRS.

1. Amendment in Ind AS notification G.S.R. 291(E) dated 7th May, 2025

The Ministry of Corporate Affairs (MCA) issued the Companies (Indian Accounting Standards) Amendment Rules, 2025 on May 7, 2025, primarily amending Ind AS 21 regarding a "lack of exchangeability" for foreign currencies, effective for annual periods starting on or after April 1, 2025. These amendments align Ind AS 21 with IAS 21, guiding how to determine the spot rate when a currency cannot be exchanged into

Under Ind AS 21, The Effects of Changes in Foreign Exchange Rates, a company on initial recognition, uses a spot exchange rate when translating a foreign currency transaction at the date of the transaction. Additionally, Ind AS 21 requires the use of a spot exchange rate when an entity reports foreign operation's results and financial position in its financial statements. A spot exchange rate is the exchange rate for immediate delivery.

However, in rare circumstances, it is possible that one currency cannot be exchanged into another. This lack of exchangeability can have a significant accounting impact over affected companies.



In this regard, the Ministry of Corporate Affairs (MCA) notified the Companies (Indian Accounting Standards) Amendment Rules, 2025, on May 7, 2025, amending Ind AS 21, The Effects of Changes in Foreign Exchange Rates. Effective for annual periods beginning on or after April 1, 2025, the amendments address the lack of exchangeability between two currencies by explaining

- when a currency is exchangeable,
- providing guidance on estimating spot rates, and
- enhancing disclosure requirements.

Key highlights of the Amendment in Ind AS 21

❖ **Definition of Exchangeability:** A currency is exchangeable into another when an entity can

obtain the other currency within a time frame allowing for normal administrative delay, through a mechanism that *creates enforceable rights.*

- **Estimate Spot Rate:** If exchangeability is lacking, the entity must estimate the spot rate to translate transactions, ensuring it reflects an orderly transaction.

Two-Step Approach

The following diagram is to help entities assess whether a currency is exchangeable and estimate the spot exchange rate when a currency is not exchangeable.

Step I: Assessing whether a currency is exchangeable

An entity might determine that currency PC is not exchangeable into currency LC, even though currency LC is exchangeable into currency PC.

Following key factors are required to be considered when determining that a currency is exchangeable:

1. **Time frame:** An exchange transaction might not always complete instantaneously because of legal or regulatory requirements, or for practical reasons such as public holidays. A normal administrative delay in obtaining the other currency does not preclude a currency from being exchangeable into that other currency. What constitutes a normal administrative delay depends on facts and circumstances.
2. **Ability to obtain the other currency:** In assessing whether a currency is exchangeable into another currency, an entity shall consider its ability to obtain the other currency, rather than its intention or decision to do so. A currency is exchangeable into another currency if an entity is able to obtain the other currency either directly or indirectly, even if it intends or decides not to do so. For example, regardless of whether the entity intends or decides to obtain PC, currency LC is exchangeable into currency PC if an entity is able to either exchange LC for PC, or exchange LC for another currency (FC) and then exchange FC for PC.
   Markets or exchange mechanisms: In assessing whether a currency is exchangeable into another currency, an entity shall consider only markets or exchange mechanisms in which a transaction to exchange the currency for the other currency would create enforceable rights and obligations. It depends on facts and circumstances.
3. **Purpose of obtaining the other currency:** Different exchange rates might be available for different uses of a currency. This could affect an entity's ability to obtain those currencies and thus, lead to lack of exchangeability. Hence, it would be important for an entity to consider the purpose for which it obtains the other currency.
4. **Ability to obtain only limited amounts of the other currency:** A currency is not exchangeable into another currency if an entity is able to obtain no more than an insignificant amount of the other currency. An entity shall assess the significance of the amount of the other currency it is able to obtain for a specified purpose by comparing that amount with the total amount of the other currency required for that purpose.

   For example, an entity with a functional currency of LC has liabilities denominated in currency FC. The entity assesses whether the total amount of FC it can obtain for the purpose of settling those liabilities is no more than an insignificant amount compared with the aggregated amount (the sum) of its liability balances denominated in FC.

Where a currency is exchangeable into another currency, then the existing principles of Ind AS 21 would be applied for translation of the foreign currency transaction. But, where a currency is not exchangeable, an entity has to apply Step II.

Step II: Estimating the spot exchange rate when a currency is not exchangeable

When a currency is not exchangeable, a company needs to estimate a spot rate. A company's objective when estimating a spot rate is only that it reflects the rate at which an orderly exchange transaction

would take place at the measurement date between market participants under prevailing economic conditions.

To estimate a spot rate, a company should consider using:

1. *An observable exchange rate without adjustment*

A company can use an observable rate if that rate satisfies the estimation objective – i.e. the rate reflects the price at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions.

To assess whether the exchange rates reflect the prevailing economic conditions, following needs to be considered:

- Whether several observable exchange rates exist
- The purpose for which the currency is exchangeable
- The nature of the exchange rate; and
- The frequency with which exchange rates are updated Examples of an observable

exchange rate include:

- A spot exchange rate for a purpose other than that for which the company is assessing exchangeability.
- The first exchange rate at which a company is able to obtain the other currency for its specified purpose after exchangeability is restored. If a company opts to use this rate as an observable rate, then it would also need to consider
  - the time between the measurement date and the date at which exchangeability is restored,
  - inflation rates.

2. *Using another estimation technique*

- When estimating a spot rate, the other alternative is that a company may use any observable exchange rate and adjust it as necessary. This includes using rates from exchange transactions in markets or exchange mechanisms that do not create enforceable rights and obligations- and adjust that rate, as necessary, to meet the estimation objective.

Disclosure when a currency is not exchangeable

An entity shall disclose:

(a) the currency and a description of the restrictions that result in that currency not being exchangeable into the other currency;

(b) a description of affected transactions;

(c) the carrying amount of affected assets and liabilities;

(d) the spot exchange rates used and whether those rates are:
  i. observable exchange rates without adjustment (see paragraphs A12–A16); or
  ii. spot exchange rates estimated using another estimation technique (see paragraph A17);

(e) a description of any estimation technique the entity has used, and qualitative and quantitative information about the inputs and assumptions used in that estimation technique; and

(f) qualitative information about each type of risk to which the entity is exposed because the currency is not exchangeable into the other currency, and the nature and carrying amount of assets and liabilities exposed to each type of risk.

When a foreign operation's functional currency is not exchangeable into the presentation currency or, if applicable, the presentation currency is not exchangeable into a foreign operation's functional currency, an entity shall also disclose:

(a) the name of the foreign operation; whether the foreign operation is a subsidiary, joint operation, joint venture, associate or branch; and its principal place of business;

(b) summarised financial information about the foreign operation; and

❖ the nature and terms of any contractual arrangements that could require the entity to provide financial support to the foreign operation, including events or circumstances that could expose the entity to a loss.

Transition

In applying *Lack of Exchangeability,* the companies are not required to restate comparative information; instead, they adjust opening balance of retained earnings or cumulative amount of translation differences-accumulated in a separate component of equity.

2. Amendment in Ind AS notification G.S.R. 549(E) dated 13th August, 2025

The amendments notified in the Companies (Indian Accounting Standards) Second Amendment Rules, 2025 relate to:

A. Classification of liabilities as current or non-current and non-current liabilities with covenants (Ind AS 1, *Presentation of Financial Statements*)

B. Disclosure of supplier finance arrangements (Ind AS 7, *Statement of Cash Flows and* Ind AS 107 *Financial Instruments: Disclosures*)

C. Pillar Two Model Rules (Ind AS 12, *Income Taxes*).

A. AMENDMENT IN IND AS 1 '*PRESENTATION OF FINANCIAL STATEMENTS*'

Current – non-current classification of liabilities

In Ind AS 1, certain paragraphs have been inserted for the classification of certain liabilities as current or non-current. Further, companies may require making new disclosures for liabilities subject to covenants.

Right to defer settlement must exist at reporting date and have substance

Prior to the notification in Ind AS 1, companies classify a liability as current when they do not have an unconditional right to defer settlement for at least
12 months after the reporting date. The amendment has removed the requirement for a right to be ***unconditional*** and instead now requires that a right to defer settlement must exist at the reporting date and have substance.

Liabilities with covenants – clarification on classification criteria and introduction of new disclosures

A company will classify a liability as non-current if it has a right to defer settlement for at least 12 months after the reporting date. This right may be subject to a company complying with covenants specified in a loan arrangement.

Only covenants with which a company must comply ***on or before*** the reporting date affect the classification of a liability as current or non-current.

Covenants with which the company must comply after the reporting date (i.e. future covenants) do not affect a liability's classification at that date. However, when non-current liabilities are subject to future covenants, **companies will now need to disclose information** to help users understand the risk that those liabilities could become repayable within 12 months after the reporting date.

Breach of covenant (effective for accounting periods beginning on or after 1 April 2025)

Ind AS 1 continues to carry the existing carve-outs from IAS 1 regarding the classification of liabilities when there is a breach of a material covenant that transforms the liability from non-current to current.

Where there is a breach of a material covenant of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand on the reporting date, the entity would not classify the liability as current, if the lender, after the reporting period and before the approval of the financial statements for issue, agreed not to demand payment as a consequence of the breach. However, in such circumstances, **the entity shall disclose information as per Ind AS 107 for each breach**.

Breach of covenant (effective for accounting periods beginning on or after 1 April 2026)

For accounting periods beginning on or after 1 April 2026, *the carve-out has been removed and hence when an entity breaches any covenant of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand, it classifies the liability as current, even if the lender agreed, after the reporting period and before the approval of the financial statements for issue, not to demand payment as a consequence of the breach.* An entity classifies the liability as current because, at the end of the reporting period, it does not have the right to defer its settlement for at least 12 months after that date.

However, an entity classifies the liability as non-current if the lender agreed by the end of the reporting period to provide a period of grace ending at least 12 months after the reporting period, within which the entity can rectify the breach and during which the lender cannot demand immediate repayment.

If the following events occur between the end of the reporting period and the date the financial statements are approved for issue, *those events are disclosed as non-adjusting events* in accordance with Ind AS 10, *Events after the Reporting Period*:

(a) refinancing on a long-term basis of a liability classified as current;

(b) rectification of a breach of a long-term loan arrangement classified as current;

(c) the granting by the lender of a period of grace to rectify a breach of a long-term loan arrangement classified as current; and

(d) settlement of a liability classified as non-current.

Convertible debt may become current

Clarification on how a company classifies a liability that can be settled in its own shares – e.g. convertible debt.

- When a liability includes a counterparty conversion option that involves a transfer of the company's own equity instruments, the conversion option is recognised as either equity or a liability separately from the host liability under Ind AS 32 Financial Instruments: Presentation. *The amendments states that when a company classifies the host liability as current or non-current, it can ignore only those conversion options that are recognised as equity.*

New disclosure requirements

As per the amendment in Ind AS 1, companies are now required to disclose information related to non-current liabilities from loan arrangements that are subject to future covenants in the notes to the financial statements. This disclosure aims to inform users about the potential risk that such liabilities may become repayable within 12 months following the reporting date.

The following new disclosures about covenants are required:

- Information about the covenants – e.g. nature of the covenants and when the company is required

to comply with them and the carrying amount of related liabilities.

- Facts and circumstances, if any, that indicate the company may have difficulty complying with the covenants within the next 12 months of the reporting date – e.g. actions taken by the company during or after the reporting period to avoid or mitigate a potential breach, or the fact that the covenants would have been breached if assessed for compliance based on the company's circumstances at the reporting date (i.e. based on a hypothetical test at the reporting date).

Effective date –retrospectively application

Amendments in Ind AS 1 apply retrospectively for annual reporting periods beginning on or after 1 April 2025.

The amendment relating to breach of covenants on or before the reporting period that are aligned to IAS 1 are applicable for annual reporting periods beginning on or after 1 April 2026, retrospectively in accordance with Ind AS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*.

B. AMENDMENT IN IND AS 7 *'STATEMENT OF CASH FLOWS'*

Supplier Finance Arrangements

Supplier finance arrangements are characterised by one or more finance providers offering to pay amounts an entity owes its suppliers and the entity agreeing to pay according to the terms and conditions of the arrangements at the same date as, or a date later than, suppliers are paid. These arrangements provide the entity with extended payment terms, or the entity's suppliers with early payment terms, compared to the related invoice payment due date. Supplier finance arrangements are often referred to as supply chain finance, payables finance or reverse factoring arrangements.

Arrangements that are solely credit enhancements for the entity (for example, financial guarantees including letters of credit used as guarantees) or instruments used by the entity to settle directly with a supplier the amounts owed (for example, credit cards) *are not supplier finance arrangements.*

An entity shall disclose in aggregate following information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows and on the entity's exposure to liquidity risk.

(a) the terms and conditions of the arrangements (for example, extended payment terms and security or guarantees provided). However, an entity shall disclose separately the terms and conditions of arrangements that have dissimilar terms and conditions.

(b) as at the beginning and end of the reporting period:

  (i) the carrying amounts, and associated line items presented in the entity's balance sheet, of the financial liabilities that are part of a supplier finance arrangement.

  (ii) the carrying amounts, and associated line items, of the financial liabilities disclosed under (i) for which suppliers have already received payment from the finance providers.

  (iii) the range of payment due dates for both the financial liabilities disclosed under (i) and comparable trade payables that are not part of a supplier finance arrangement. Comparable trade payables are, for example, trade payables of the entity within the same line of business or jurisdiction as the financial liabilities disclosed under (i). If ranges of payment due dates are wide, an entity shall disclose explanatory information about those ranges or disclose additional ranges (for example, stratified ranges).

  the type and effect of non-cash changes in the carrying amounts of the financial liabilities disclosed under (b)(i). Examples of non-cash changes include the effect of business combinations, exchange differences or other transactions that do not require the use of cash or cash equivalents.

Transition- Effective date

An entity shall apply the supplier finance arrangements for the annual reporting periods

beginning on or after 1 April 2025.

In applying supplier finance arrangements, an entity is ***not*** required to disclose:

(a) Comparative information for any reporting periods presented before the beginning of the annual reporting period in which the entity first applies these amendments;

(b) The following information as at the beginning of the annual reporting period in which the entity first applies those amendments

- ❖ the carrying amounts and associated line items presented in the balance sheet at the beginning and end of the reporting period for both the financial liabilities that are part of supplier finance arrangements in total and those for which the supplier has already been paid.
- ❖ the range of payment due dates for the financial liabilities that are part of supplier finance arrangements and comparable trade payables (e.g. trade payables within the same jurisdiction or business) that are not part of such arrangements as at the beginning of the annual reporting period in which the entity first applies these amendments.

(c) The information regarding supplier finance arrangements for any interim period presented within the annual reporting period in which the entity first applies these amendments.

C. AMENDMENT IN IND AS 12 *'INCOME TAXES'*

Pillar Two Legislation and Pillar Two Income Taxes

Pillar Two legislation includes Pillar Two Model Rules as per Organisation for Economic Co-operation and Development (OECD) including tax law that implements qualified domestic minimum top-up taxes described in those rules.

As an exception to the requirements in this Standard, *an entity shall neither recognise nor disclose information about deferred tax assets and liabilities related to Pillar Two income taxes.*

The amendments to Ind AS 12 states that

- ❖ An entity shall disclose that it has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.
- ❖ An entity shall disclose separately its current tax expense (income) related to Pillar Two income taxes.
- ❖ In periods in which Pillar Two legislation is enacted or substantively enacted but not yet in effect, an entity shall disclose known or reasonably estimable information that helps users of financial statements understand the entity's exposure to Pillar Two income taxes arising from that legislation.
- ❖ To meet the above disclosure, an entity shall disclose qualitative and quantitative information about its exposure to Pillar Two income taxes at the end of the reporting period.
- ❖ This information does not have to reflect all the specific requirements of the Pillar Two legislation and can be provided in the form of an indicative range. To the extent information is not known or reasonably estimable, an entity shall instead disclose a statement to that effect and disclose information about the entity's progress in assessing its exposure.